

Correlated, Not Caused

Testing the Oil Price – Broking Revenue Link at Clarkson PLC (FY2024–H1 2026)

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0. The Claim Under Review

The working hypothesis tested here: “when oil prices rise, freight rates rise and Broking revenue rises; when oil prices fall, oil demand rises and Broking revenue rises too.” As stated, this is a heads-I-win-tails-I-win claim — it predicts higher revenue regardless of which direction oil moves, which makes it unfalsifiable. Before accepting it, this note tests it directly against the actual data Clarkson PLC has reported over the last three comparable periods.

1. What Actually Sets Broking Revenue

Per Clarkson PLC's own disclosure (2025 Annual Report, Note 4 — see [8]), Broking earns “a commission based on the value of the freight, the hire or the asset.” Broking is the dominant segment: 75.4% of FY2025 group revenue and 76.8% of combined segment operating profit. Critically, the commission is tied to transaction value — freight rates, charter hire rates, or ship sale/newbuilding prices — not to the price of oil as a commodity. Oil price is, at most, one input among several that can move those values; it is never itself the billing basis.

2. The Test — Three Observed Periods

Using Clarkson PLC's own reported segment revenue alongside independently sourced oil price and shipping rate data, three comparable periods were checked for directional consistency.

Period	Oil price (WTI/Brent avg)	Tanker rate	ClarkSea Index	Clarksons Broking Revenue
H1 2024 → H1 2025	−14.3% / −14.9%	−33% (~\$44.3k→\$29.7k/day)	n/a	n/a (FY-only reported)
FY2024 → FY2025	−14.5% / −14.5%	n/a	+7.5% (\$24,964→\$26,836)	−10.1% (£529.3m→£476.0m)
H1 2025 → H1 2026	+22.9% / +23.1%	+176% (\$29.7k→\$82.0k/day)	+61% (\$24.0k→\$38,717)	+39.6% (£222.2m→£310.3m)

Oil prices are author-calculated averages of monthly WTI (Cushing, OK) and Europe Brent spot prices from FRED [1][2], cross-checked against Statista's independently published full-year averages [3]. Tanker and ClarkSea figures are from Clarksons Research via the company's own results presentation and Cyprus Shipping News republications [4][5][6]. H1 2024 tanker rate is implied from the reported “33% decrease” H1 2025 vs. H1 2025 commentary [5].

3. Finding 1 — Oil Price Never Moved Opposite to Revenue

In every one of the three periods tested, oil price and Broking revenue (or its closest available proxy, tanker/ClarkSea rates) moved in the SAME direction — never opposite. Oil fell in both H1 2024→H1 2025 and FY2024→FY2025, and in both cases tanker rates and Broking revenue also fell. Oil rose in H1 2025→H1 2026, and tanker rates, ClarkSea, and Broking revenue all rose sharply alongside it.

This directly contradicts the second leg of the original claim (“oil falls → demand rises → revenue rises”). If that mechanism were operating with any real force in this window, at least one of the two down-oil periods should show revenue or rates rising against the oil price trend. Neither does. The data instead shows oil price and shipping revenue moving together — which is consistent with a common cause driving both, not with oil price causing shipping demand through a price-elasticity channel.

4. Finding 2 — Even “Oil → Freight → Revenue” Is Not a Clean Chain

A closer look at FY2024→FY2025 shows the story is not simply “oil down, freight down, revenue down” either. The ClarkSea Index (a blended day-rate index across tankers, bulkers, gas carriers and containerships) actually ROSE 7.5% in FY2025 even as oil price fell 14.5% — yet Broking revenue still fell 10.1% in the same year.

That means Broking revenue diverged from the freight-earnings index itself, in the same year that it happened to move with oil price. The most likely explanation is compositional: Broking revenue is not just chartering commission — it also includes sale-and-purchase (S&P) and newbuilding brokerage, which move with ship asset markets and ordering cycles, not day-rate earnings. A hot FY2024 S&P/newbuilding market cooling into FY2025 would produce exactly this pattern (revenue down while the day-rate index is up). This is a second, independent reason not to treat oil price — or even freight rates alone — as a simple one-variable explanation for Broking revenue.

5. Why the Correlation Exists Anyway

The same-direction pattern observed above is best explained by a common cause — geopolitical/supply-chain disruption — rather than a direct oil-to-freight price channel. Two oil-price-up scenarios have opposite freight implications, which is why “oil price” alone is the wrong variable to model:

- Route/chokepoint disruption (the current cycle): the Strait of Hormuz blockage and Red Sea/Houthi threats are forcing longer voyages (Cape of Good Hope reroutes), tying up capacity for ship-to-ship transfers, and damaging or holding vessels — this raises both oil price (risk premium) and freight rates (ton-mile demand, effective capacity loss) together.
- Supply-driven price moves (e.g. an OPEC+ production cut): raises oil price but reduces the physical volume of crude that needs to be shipped — freight demand would be expected to fall even as oil price rises, the opposite of what the original claim assumes.

Because the current cycle happens to be a chokepoint-disruption cycle, oil price and Broking revenue have moved together — but that is a coincidence of which scenario is in play, not a durable law. A future period where oil moves for supply-side (not disruption) reasons would very plausibly break the correlation entirely, in either direction.

6. Update Since H1 2026 Close — Directly Relevant to the H2 2026 Scenario Model

As of mid-September 2026, conditions have intensified well beyond the H1 2026 figures used above. Per Clarksons Research (via Cyprus Shipping News, 16 September 2026):

- VLCC global average earnings: \$451,000/day (+68% week-over-week)
- Suezmax: \$343,000/day (record, +94% week-over-week)
- ClarkSea Index: \$56,567/day — the highest level on record, +91% year-over-year
- Drivers cited: over 100 vessels reported damaged or arrested, ~50% of Red Sea oil now rerouting via the Cape of Good Hope, and ~15% of the VLCC fleet tied up off Oman for ship-to-ship transfers

This is squarely a route-disruption story (Finding in §5 above), not a simple oil-price story — Middle East crude export volumes are reported as “near 13.5m barrels per day,” i.e. broadly maintained, while the rate spike comes from inefficiency and vessel losses, not from more oil moving. For the H2 2026 scenario model, this is a strong signal that the Bull Case tanker/Broking assumptions reviewed earlier (see the separate H2 2026 Scenario Model Review note) may still be conservative relative to the run-rate observed in September — though translating a weekly VLCC spot spike into a half-year Broking revenue assumption needs care, since spot spikes of this magnitude are rarely sustained for a full six months.

7. Implication for the Scenario Model

Recommendation: do not use oil price (WTI/Brent) as a direct input variable in the FY2026 scenario model. Two reasons, both demonstrated above: (1) oil price and Broking revenue only correlate because of the current disruption cycle — the relationship is not structural and would not hold under a supply-driven oil price move; and (2) even the more relevant variable, freight/tanker rates, does not cleanly explain Broking revenue on its own, since S&P and newbuilding brokerage respond to different drivers.

A cleaner set of scenario drivers: (a) Strait of Hormuz / Red Sea disruption status (binary or graded — this is the actual common cause), (b) tanker spot/time-charter rates directly (ClarkSea or a tanker-specific sub-index), and (c) ship S&P/newbuilding transaction volume as a separate line, since it has already been shown to move independently of day-rate earnings (§4). Oil price can still be tracked as a coincident indicator worth footnoting, but it should not carry causal weight in the model's logic.

8. Limitations of This Test

- Only three comparison periods are available from Clarkson PLC's public reporting cadence (half-yearly) — this is a directional check, not a statistically robust regression. A fourth or fifth period, especially one where oil moves for supply-side reasons, would meaningfully strengthen or weaken the common-cause interpretation.
- ClarkSea Index blends tankers, bulkers, gas carriers and containerships — cargo types with no direct oil-price exposure (e.g. containers) dilute the read on any oil-specific relationship. A tanker-only sub-index would be a tighter test.
- Annual and half-year averaging smooths out within-period reversals (e.g. the sharp escalation between June and September 2026 shown in §6 would be invisible in a full-H2 average alone).
- Broking revenue mixes at least three distinct commission types (chartering, S&P, newbuilding/FFA) with different underlying drivers; this note treats Broking revenue as one variable for simplicity, which likely understates how much of the FY2024→FY2025 divergence (§4) is explainable once those streams are split out — a natural next step if segment-level granularity becomes available.

Sources

All data sources and project references, grouped by section.

Data — Oil Prices

- [1] Federal Reserve Bank of St. Louis (FRED) — WTI Crude Oil Spot Price, Cushing OK, monthly (MCOILWTICO). Author's own average calculated from monthly series. <https://fred.stlouisfed.org/series/MCOILWTICO>
- [2] Federal Reserve Bank of St. Louis (FRED) — Europe Brent Spot Price, monthly (POILBREUSDM). Author's own average calculated from monthly series. <https://fred.stlouisfed.org/series/POILBREUSDM>
- [3] Statista — "WTI and Brent crude oil annual spot prices" (cross-check for full-year 2025 averages) <https://www.statista.com/statistics/209641/average-annual-spot-price-of-wti-and-brent-crude-oil/>

Data — ClarkSea Index & Tanker/Bulker Rates

- [4] Clarkson PLC — 2025 Full Year Results Presentation (Andi Case & Jeff Woyda, 9 March 2026) — ClarkSea Index FY2024/FY2025 <https://www.clarksons.com/media/bjoccyoe/2025-full-year-results-presentation-web.pdf>
- [5] Clarksons Research, "1H 2025 Shipping Market Review" (via Cyprus Shipping News, July 2025) — H1 2025 tanker and bulker average earnings <https://cyprusshippingnews.com/wp-content/uploads/2025/07/1H-2025-Shipping-Market-Review.pdf>
- [6] Cyprus Shipping News, "First Half 2026 Shipping Market Review: ClarkSea Index Up 61%" (7 July 2026) — H1 2026 ClarkSea Index and tanker average earnings <https://cyprusshippingnews.com/2026/07/07/first-half-2026-shipping-market-review-clarksea-index-up-61/>
- [7] Cyprus Shipping News, "Crude Tanker Rates Reach Record Levels" (16 September 2026) — VLCC/Suezmax rates and ClarkSea Index update <https://cyprusshippingnews.com/2026/09/16/crude-tanker-rates-reach-record-levels/>

Project Reference

- [8] Analyst project — "Clarkson PLC Operating Profit Structure & Revenue Drivers" (internal analysis, 2026-09-25), sourced from Clarkson PLC 2025 Annual Report, Note 4 "Segmental information."
- [9] Analyst project — "Clarkson PLC News & Market Log" (internal analysis, 2026-09-23), summarizing the Clarksons Research H1 2026 market review.